

US Stocks Slide as Oil Surges and VIX Spikes

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell 0.79% to 7,515.34 as the VIX spiked 14.17% to 17.16, indicating increased market volatility. The surge in oil prices, with WTI crude rising 11.41% to 79.56, contributed to the decline in stocks. Below the surface, the **NVDA** and **TSLA** declines weighed on the Nasdaq 100, which dropped 1.88% to 29,264.10.

The 10Y yield rose 0.88% to 4.61, while the DXY index increased 0.20% to 101.17. The gold price fell 2.01% to 4,021.60. The mixed market signals suggest investors are cautious ahead of the US open.

US Session Recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,515.34	-0.79%	Oil price surge and increased market volatility
Nasdaq 100	29,264.10	-1.88%	NVDA and TSLA declines
Dow Jones	52,498.64	-0.26%	Mixed market signals and cautious investor sentiment
Russell 2000	2,953.17	-0.83%	Small-cap stocks underperformed in a risk-off environment
VIX	17.16	+14.17%	Increased market volatility and investor uncertainty

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+1.53%	Strong earnings report and positive guidance
NVDA	-3.52%	Disappointing earnings and reduced growth outlook
TSLA	-3.19%	Concerns over demand and production delays

Sector Rotation

ETF	DAY	READ
XLFX	+0.65%	Financials outperformed on strong earnings reports
XLKX	-2.42%	Technology stocks underperformed due to NVDA and TSLA declines
XLI	-0.85%	Industrials declined on concerns over global growth
XLE	+3.01%	Energy stocks surged on rising oil prices
XLY	-1.02%	Consumer discretionary stocks underperformed due to TSLA decline
XLC	-0.04%	Communication services stocks were relatively flat
XLP	+0.56%	Consumer staples stocks outperformed on defensive sentiment
XLV	+0.35%	Healthcare stocks rose on positive earnings reports
XLU	+0.68%	Utilities stocks outperformed on defensive sentiment
XLB	-0.61%	Materials stocks declined on concerns over global growth
XLRE	+0.56%	Real estate stocks outperformed on defensive sentiment

Spotlight

The surge in oil prices was the biggest story of the day, with WTI crude rising 11.41% to 79.56. This move was driven by concerns over global supply and demand imbalances.

METRIC	VALUE	READ
WTI Crude	79.56	Rising oil prices due to supply and demand concerns
Brent Crude	84.21	Global benchmark oil price also surged on supply concerns

The impact of rising oil prices will be closely watched, particularly on **XLE** and energy-related stocks.

Pre-Market & Overnight

US futures are pointing to a mixed open, with the Dow Jones futures up 0.2% and the S&P 500 futures down 0.1%. Asian markets were mostly lower, with the Nikkei 225 down 1.1% and the Hang Seng Index down 0.8%. European markets are also lower, with the Stoxx 600 down 0.5%.

Crypto markets are relatively flat, with **BTC** up 0.1% to 63,758.22 and **ETH** up 0.2% to 1,805.79.

Macro & Fed

The FOMC meeting is scheduled for next week, and investors will be closely watching for any changes to monetary policy. Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	US Retail Sales	0.5%	Indicator of consumer spending and economic growth
21:30	US Industrial Production	0.2%	Indicator of manufacturing activity and economic growth

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.

- The EU and UK are engaged in trade talks, with the EU seeking to impose stricter regulations on UK financial services.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (15 Jul)	JPM	2.53	Bank earnings and outlook for the financial sector
22:00 (15 Jul)	GS	4.85	Investment banking and trading revenue

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Upcoming earnings report and product launches
AMZN	Consumer Discretionary	Expanding into new markets and services
GOOGL	Communication Services	Growing advertising revenue and cloud services

What Could Break the Tape

BULLISH TRIGGERS

- A strong US retail sales report could boost consumer discretionary stocks.
- A positive earnings report from **JPM** could lift the financial sector.
- A breakthrough in US-China trade talks could boost global markets.

BEARISH TRIGGERS

- A disappointing US industrial production report could weigh on economic growth.
- A negative earnings report from **GS** could hurt the financial sector.
- An escalation of tensions in the Middle East could lead to higher oil prices and market volatility.

Positioning Notes

- Investors are increasingly cautious, with the VIX rising 14 . 17% to 17 . 16.
- There is a growing divergence between growth and value stocks, with the **NVDA** decline weighing on growth stocks.
- The yield curve is flattening, with the 10Y-2Y spread narrowing to 0 . 25%.

Sources

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Reuters

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The Wall Street Journal

The Financial Times

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